

[INCOMPLETE] Chapter 4: Market Forces of Supply and Demand

Demand

The demand curve slopes downward, because other things equal, a lower price means a greater quantity demanded. The demand curve shows how price affects quantity demanded, holding constant everything else that affects buyers.

- A **change in price** moves us along a **fixed demand curve**
- A change in anything else that affects demand, income, the price of related goods, tastes, expectations, or the number of buyers, **shifts the entire curve** to a new position

What shifts the demand curve?

- **Income**: For a *normal good*, higher income raises demand (e.g. diamonds); for an *inferior good*, higher income lowers demand (e.g. instant ramen)
- **Prices of related goods**: A higher price of a **substitute** (e.g. coffee, for bubble tea) raises demand; a higher price for a **complement** (e.g. tapioca pearls, for bubble tea shops' costs) lowers demand for the other good
- **Tastes**: Anything that makes a good more or less appealing shifts demand in the same direction
- **Expectations**: Expecting **higher prices or higher income in the future** can raise demand today
- **Number of buyers**: More buyers in the market raises demand at every price